

IMSR — Full Analysis

Date: 2026-05-29 **Company:** Terrestrial Energy Inc. (IMSR) — Integral Molten Salt Reactor SMR developer · Sector Utilities · Mcap \$1.19B · Earnings 2026-08-10 (73 days out)

Important update to the saved record

The original 2026-05-26 speculative-BUY call at \$8.18 has worked. The same-day "downgrade — exit" reeval (which was saved to memory) was wrong. IMSR is now at **\$9.11** — up **+11.4%** from entry, **+47%** from the \$6.21 low on 2026-05-19.

Three-day trajectory vs prior reads

Signal	5/26 entry call	5/26 reeval ("exit")	5/29 (today)	Δ
Price	\$8.18	\$8.20 / \$7.62 close	\$9.11 / \$8.16 last close	+11% from entry
BB upper	\$8.36	\$8.36	\$8.67	Widening up
BB pos	0.926	0.926	1.196 — above upper band	Extended
VWAP	\$7.41 (+10.3%)	\$7.41 (+2.89%, 1 bar)	\$7.53 (+8.42%, 4 bars above, STRONG reclaim)	Major regime shift
MACD	bullish, hist +0.017	bearish, hist −0.062	bullish, hist +0.092	Reverted bullish
Stochastic K	58.61	60.27	81.15 — overbought, bearish cross	Overbought top forming
DAOI net	+7,648	+6,308	+10,582 (MM net LONG)	DAOI flipped sell_on_rally
Unusual calls	strong	strong	6 sweeps, 3 high-conviction	Institutional flow heavy
Trade rec	speculative BUY	downgrade exit	LONG_PUT MEDIUM −3	Engine bearish but less confident
OBV	rising	rising	rising, confirming	Real accumulation
Bid/ask	28.5% wide (fear)	25.96% wide	22.57% normal, "no stress"	Fear gone
1m return	n/a	n/a	+33.97%	Huge bounce
RS vs SPY 12m	−25%	−25%	−53.73%	Long-term weakness intact

Signal	5/26 entry call	5/26 reeval ("exit")	5/29 (today)	Δ
Short interest	7.2%	7.2%	8.44% rising	Shorts adding into bounce

What just happened

IMSR put in a textbook V-bottom from \$6.21 → \$9.11 in 7 sessions. The "DAOI bail trigger" we coded into the original plan **fired AND reverted within 3 days** — head-fake. The deeper signals (strong VWAP reclaim with rising OBV, intense unusual call flow) were the truth; the surface momentum signals (MACD, DAOI) were noise.

Critical lesson for future calibration

The 5/26 reeval said "DAOI flipped to sell_on_rally — bail trigger fired." That call was wrong. The DAOI flip was momentary; it reverted as price recovered.

For low-float micro-caps in a structural downtrend with capitulation signals firing, DAOI is too short-horizon and too sensitive to be a reliable single-bail trigger. The strong VWAP reclaim with rising OBV was the higher-quality signal and pointed correctly.

Today's setup — bull vs bear ledger

Bull case

- Strong VWAP reclaim, 4 bars above (high-confidence bounce signal)
- MACD bullish crossover, hist +0.092
- **6 unusual call sweeps, 3 high-conviction**
- Jul 17 \$10 (vol/OI 4.29, paid above ask, +9.8% OTM)
- Aug 21 \$20 (vol/OI 3.44, paid above ask, +120% OTM)
- Jul 17 \$15 (vol/OI 28.65, paid above ask)
- OBV confirming uptrend (real accumulation)
- Bid/ask spreads normalized — fear gone
- News sentiment moderately positive (5 positive / 4 neutral / 1 negative)
- Short interest rising (8.44%) — squeeze fuel

Bear case

- Stochastic K 81 overbought, bearish crossover
- BB pos 1.196 (above upper band, extended)
- MM sell_on_rally (mechanical resistance at \$10)
- Volume cooling on bounce (0.68× avg) — buying enthusiasm fading
- Fundamentals −5 (broken)

- RS -53.7% vs SPY 12m
- Trade engine LONG_PUT MEDIUM, net_score -3
- 1m return +33.97% — over-extended
- No higher-low structure on 1h yet

The standout signal: smart money positioning

The unusual call activity is *much* heavier today than 3 days ago. **Six sweeps across two expirations**, three at high conviction:

Strike	Exp	Vol	OI	Vol/OI	Paid	OTM %	Conviction
\$10	Jul 17	3,495	814	4.29×	≥ ask	+9.8%	very high
\$15	Jul 17	2,206	77	28.65×	≥ ask	+64.7%	high
\$20	Aug 21	5,308	1,544	3.44×	≥ ask	+120%	high

This is institutional positioning, not retail. Someone (or several someones) is making aggressive bets that IMSR clears \$10 in 7 weeks, \$15 in 7 weeks, and potentially **\$20 in 12 weeks**. Vol/OI of 28.65× on the \$15 strike is extreme — that strike traded over 28× its existing OI in a session.

Conflicting structure: MM sell_on_rally at gamma wall

Despite the bullish sweep flow, **DAOI net +10,582 = MM net LONG delta**. They mechanically sell stock as price rises. Gamma wall at **\$10** acts as a magnet+ceiling. Any rally to \$10 will face this mechanical resistance.

So the structure is: **smart money buying calls into a mechanical sell-on-rally wall**. Either smart money is right and the calls force MM to chase (gamma squeeze setup), or MM resistance wins and the calls expire worthless. This is binary.

Verdict by holding state

If you bought at \$8.18 (followed the original call)

- Take partial profits (~half) here at \$9.11. You're up 11.4%; lock some in.
- Hold remainder with stop at **\$7.53 (VWAP)**.
- Target **\$10 (gamma wall)** for the other half.

If you "exited" on the 5/26 reeval (followed the bad call)

- Don't chase here. Entry quality has degraded — overbought, extended, mechanical resistance at \$10.
- Wait for pullback to \$7.80–\$8.00 zone for a re-entry.

If flat now and considering entry

- Spot stock at \$9.11 is **poor entry** (overbought + MM resistance)
- The **Jul 17 \$10/\$15 bull call spread** matches the institutional positioning:

- Long \$10 call (ask \$1.30), short \$15 call (bid \$0.40) → debit ~\$0.90
- Max profit \$4.10 if IMSR clears \$15
- RR ~4.5:1
- Defined risk
- Tracks the smart-money flow
- But requires +23% move in 49 days — aggressive
- Conservative: wait for retest of \$7.80–\$8.00 (gap fill from 5/26 unfilled gap + VWAP retest)

Bail / decision levels

Level	Action
Close > \$10 on volume > 4M	Gamma squeeze likely engaged — hold/add
Close \$9–\$10 sideways	Hold; let structure develop
Close < \$7.53 (VWAP) on rising volume	Failed bounce — exit
Close < \$7.00	Confirmed thesis break
One of the \$10/\$15/\$20 sweeps disappears (rolled or closed)	Smart money giving up; reduce conviction

Caveats

- "IV rank 100% extreme fear" tag in the options scorer remains degenerate across most names; weighted lower than other signals.
- Fundamentals score –5 hasn't improved; this remains a pre-revenue micro-cap with cash burn. The bounce is technical/positioning, not fundamental.
- News sentiment server confirms the same Q1 earnings call coverage as prior reads — no new catalyst.
- The earnings event (2026-08-10) sits *after* the Jul 17 expiration; spread plays expire before the earnings risk window.
- This is research output from a personal dashboard, **not financial advice**.

Recommendation to update memory

The saved review at `analysis_imsr_20260526.md` says "thesis didn't work, price went nowhere." That's now demonstrably wrong. The corrected lesson is:

Original 5/26 speculative BUY at \$8.18 worked (+11.4% to \$9.11 by 5/29). The same-day reeval-to-exit on DAOI flip was the actual error. For low-float micro-caps with capitulation signals firing, DAOI is too sensitive to act as a single bail trigger — the higher-quality signal was the strong VWAP reclaim with rising OBV.

Future calibration: weight strong VWAP reclaim + rising OBV above DAOI flips for these setups.